



DIRECT SELLER AGREEMENT

This Direct Seller Agreement ("**Agreement**") is entered on 14 Jul, 2021 ("**Effective Date**") between:

(1) **Enagic India Kangen Water Private Limited**, a private limited company incorporated under the laws of India and having its registered office at Unit No.501, 05th Floor, Barton Center, No.84 MG Road, Bangalore -560001 (herein after referred to as "**Enagic**" which expression shall always include its successors and assigns); and

(2) Magnitude Organisation
B-46 Santlal Soc 3 Hirabug Circle Varachha Road Surat Gujarat 395006
Surat, Gujarat 395006
(hereinafter referred to as "**Direct Seller**").

RECITALS:

A. The Direct Seller has approached Enagic in order to be appointed on a principal-to-principal basis as a direct seller.

B. Enagic has agreed to appoint the Direct Seller in accordance with the terms and conditions set out on Enagic's web-based KYC and DSA (Direct Seller Agreement) Portal under the provision of the Information Technology Act, 2000, an electronic contract is valid and enforceable, in Direct Seller Application Form (Form-DSA-IND.V1), and in this Agreement.

NOW THEREFORE, in consideration of the foregoing, and the premises and mutual agreements and covenants contained in this Agreement, the Parties hereby agree as follows:

1. DEFINITIONS AND INTERPRETATION

1.1. **Definitions.** In this Agreement, the following terms and expressions shall, unless the context otherwise requires, have the meanings set out as follows:

"Agreement" shall mean this Direct Seller Agreement, which shall include:

(i) The Distributor Policy and Procedures Handbook, Direct Seller Orientation Program (DSOP), Speaker Guidelines, Water-Related Questions, Enagic Product and Specifications, a copy of which is provided as **Annexure I**; as amended by Enagic, in its discretion from time to time.

"**Applicable Law**" means any statute, law, regulation, ordinance, rule, judgment, notification, order, decree, bye-law, permits, licenses, approvals, consents, authorizations, government approvals, directives, guidelines, requirements, or other governmental restrictions, or any similar form of a decision of, or determination by, or any interpretation, policy or administration, having the force of the law of any of the foregoing, by any authority

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having jurisdiction over the matter in question, whether in effect as of the date of this Agreement or thereafter;

"Confidential Information" means all non-public information disclosed Enagic, its affiliates, or their agents in connection with this Agreement (such entities collectively, the **"Disclosing Party"**) to the Direct Seller and his/her agents (collectively, the **"Receiving Party"**) that is designated as confidential or that, given the nature of the information or the circumstances surrounding its disclosure, reasonably should be considered as confidential.

Confidential Information includes, without limitation (i) non-public information relating to the Disclosing Party's technology, products, services, processes, data, customers, business plans and methods, promotional and marketing activities, finances and other business affairs, (ii) third-party information that the Disclosing Party is obligated to keep confidential (iii) the nature, content and existence of a relationship, discussions or negotiations between the Parties and (iv) customer data.

Confidential Information does not include any information that (a) is or becomes publicly available without breach of this Agreement (provided, however, information that is rumored or reported does not become public based only on such rumors or reports), (b) was known by the Receiving Party prior to its receipt from the Disclosing Party, (c) is disclosed to the Receiving Party from any third party, except where the Receiving Party knows or reasonably should know, that such disclosure constitutes a wrongful or tortious act, or (d) is independently developed by the Receiving Party without the use of any Confidential Information;

"Cooling Off Period" shall, in accordance with the terms and conditions set out on Enagic's web-based KYC and DSA (Direct Seller Agreement) Portal under the provision of the Information Technology Act, 2000, an electronic contract is valid and enforceable, in Direct Seller Application Form (Form-DSA-IND.V1) mean a period of [30 days] from the date of execution of this Agreement, within which period the Direct Seller shall be entitled to terminate this Agreement without penalty and be entitled to full refund of price of any Enagic products purchased from Enagic upon return of such products or materials in saleable, marketable condition;

"Enagic Products" means the products that may be manufactured, imported, or sold by Enagic from time to time, more fully described, attached in **Annexure I** of this Agreement, which annexure may be amended by Enagic at its sole discretion.

"Party" means Enagic or the Direct Seller individually, and **"Parties"** means Enagic and the Direct Seller collectively;

"Proprietary Right" means all trade secrets, patents and patent applications, trademarks (whether registered or unregistered and including any goodwill acquired in such trademarks), service marks, trade names, business names, internet domain names, e-mail address names, copyrights (including rights in computer software), moral rights, database rights, design rights, rights in know-how, rights in confidential information, rights in inventions (whether patentable or not) and all other intellectual property and proprietary rights (whether registered or unregistered, and any application for the foregoing), and all other equivalent or similar rights that may subsist anywhere in the world;

1.2. Interpretation. In construing this Agreement:

1.2.1. Headings in this Agreement are inserted for ease of reference only and do not form part of this Agreement and shall have no effect on the interpretation of any of the provisions hereof.1.2.2. Reference to "this Agreement" in this Agreement means this Agreement as it may be amended from time to time.1.2.3. The words "hereof", "herein" and "hereunder" and other words of similar import used in this Agreement refer to this Agreement as a whole and not to any particular part of this Agreement.1.2.4. Where the context so requires in this Agreement, words importing the singular number shall include the plural and vice versa.1.2.5. References to a person include a body corporate and an un-incorporated association of persons; and1.2.6. References to Recitals, Clauses and Annexures are references to Recitals, Clauses and Annexures of and to this Agreement, and unless otherwise stated references to this Agreement includes the Annexures hereto.

2.APPOINTMENT OF DIRECT SELLER

2.1. Enagic hereby appoints, as on the Effective Date, on a non-exclusive and revocable basis, the Direct Seller as a direct seller for Enagic Products throughout the territory of India, and the Direct Seller hereby agrees to and accepts such appointment on the terms and conditions set out herein. Pursuant to

2.2. Pursuant to the above-mentioned appointment, the Direct Seller may, on a non-exclusive basis, purchase Enagic Products for the purpose of sale, distribution, and marketing throughout the territory of India.

3. OBLIGATIONS OF DIRECT SELLER

3.1. The Direct Seller shall at all times during the Term of this Agreement comply with the following obligations and restrictions, in addition to those contained elsewhere in this Agreement:

(i) Direct Seller shall not sell any Enagic Products for a price exceeding the Maximum Retail Price (MRP) mentioned on the labels of the Enagic Products;

(ii) Direct Seller shall comply with all Applicable Laws, in the conduct of his/her business. The Direct Seller shall be responsible for obtaining any applicable registration, license, approval or authorization, including tax registrations, to carry on the business as a Direct Seller. Copies of such registrations, licenses, approvals and authorisations shall be provided to Enagic upon request;

(iii) Direct Seller shall always carry his/her identity card issued and shall not visit any consumer's premises without prior appointment / approval;

(iv) truthfully and clearly identify himself/herself and state the purpose of solicitation to any prospective consumer and provide complete details of his/her relationship with Enagic;

(v) Direct Seller shall provide complete explanation and demonstration as well as description of the nature of the Enagic Products being offered for sale, provide details of prices, credit terms, terms of payment, return policies, terms of guarantee, after-sales service, complaint redressal mechanism etc. to all consumers;

(vi) Direct Seller shall provide a [bill and receipt] to all consumers for orders placed for Enagic Products;

(vii) Direct Seller shall maintain all requisite books, accounts and records in compliance with Applicable Law;

(viii) Direct Seller shall not use misleading, deceptive or unfair trade practices for sale or recruitment of prospective direct sellers;

(ix) Direct Seller shall not require or encourage other Enagic direct sellers to purchase Enagic Products in unreasonably large quantities;

- (x) Direct Seller shall not provide any literature, marketing and/or training material to a prospective and/or existing direct seller which have not been approved by Enagic in writing;
- (xi) Direct Seller shall not require any prospective or existing direct sellers to purchase any literature or marketing/training material or sales demonstration equipment;
- (xii) Direct Seller shall not take part in any manner in the sale of water under the 'Enagic' or 'Kangen' brand. Direct Seller shall not allow or permit any money to be exchanged for water under any circumstances;
- (xiii) Direct Seller shall not make any false or untrue claims regarding the health benefits of Enagic Products or any water produced therefrom;
- (xiv) Direct Seller shall not sell, promote or market Enagic Products on any e-commerce website, internet auction sites, internet-based classified listings or any other similar portals;
- (xv) Direct Seller shall not export or sell directly or indirectly outside the territory of India any Enagic Products or any literature, sales aids, promotional material regarding Enagic Products.
- (xvi) Direct Seller shall not use misleading, deceptive, or unfair sales practices, including misrepresentation of actual or potential sales or earnings, in their interaction with prospective or existing direct sellers;
- (xvii) Direct Seller shall not make any factual representation to a prospective customer that cannot be verified or make any promise that cannot be fulfilled;
- (xviii) Direct Seller shall not present any advantages of direct selling to any prospective direct seller in a false or deceptive manner;
- (xix) Direct Seller shall not make or cause, or permit to be made, any representation relating to Enagic's business, including remuneration system and agreement between, or relating to Enagic Products which is false or misleading;
- (xx) Direct Seller shall not use, or cause or permit to be used, fraud, coercion, harassment, unconscionable or unlawful means in promoting its direct selling practice,

3.2. The Direct Seller agrees and acknowledges that the obligations and restrictions contained in Clause 3.1 are not exhaustive, and are in addition to other obligations that may be imposed on the Direct Seller from time to time, including those contained in the Distributor Policy and Procedures Handbook.

4. TERM AND TERMINATION

4.1. This Agreement shall commence on the Effective Date and shall continue in force until terminated by either Party in accordance with the below provisions ("**Term**").

4.2. **Termination.** Notwithstanding anything contained herein, this Agreement may be terminated at any time:

- (i) by the mutual consent of Parties;
- (ii) by Enagic upon providing the Direct Seller not less than seven days' written notice;
- (iii) by Enagic, in the event of any breach or default by the Direct Seller of any of the Direct Seller's obligations under this Agreement or under Applicable Law, and upon the failure of the Direct Seller to cure or rectify such breach or default within a period of 20 (twenty) days of receiving notice of the same;
- (iv) by the Direct Seller upon providing Enagic not less than seven days' notice in writing, and

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(v) by the Direct Seller where he/she has made no sale of Enagic Products for a period of 2 (two) years from the Effective Date, or since the date of the last sale made by the Direct Seller.

4.3. Consequences of Termination. Termination in accordance with this Agreement shall not prejudice or affect any right or action or remedy that has accrued or shall thereafter accrue in relation to either Party. Termination or expiration of this Agreement shall not affect any Fees or payments due from the Direct Seller to Enagic that are incurred and become due prior to the date of termination, nor relieve any Party from liability incurred prior to termination or expiration. Upon termination, the Direct Seller will lose all privileges, rights, bonuses or margins otherwise payable to him/her as a direct seller.

4.4. Survival. Clauses 7 (Indemnification), 4 (Term and Termination), 8 (Limitation of Liability), 9 (Confidentiality), 10 (Ownership Rights) and 13 (Miscellaneous) will survive the termination of this Agreement.

5. REPRESENTATIONS AND WARRANTIES

5.1. The Direct Seller hereby represents and warrants to Enagic as follows:

(vi) He/she has full power and authority to execute, deliver and perform his/her obligations under this Agreement and to carry out the transactions contemplated hereby;

(vii) He/she has taken all necessary actions under Applicable Law for the execution, delivery and performance of this Agreement;

(viii) This Agreement will constitute a legal, valid and binding obligation enforceable against him/her in accordance with the terms hereof; and

(ix) He/she has attained the age of majority in India.

6. INDEMNIFICATION

6.1. Indemnification. The Direct Seller (in this context, the "**Indemnifying Party**") will defend, indemnify and hold harmless the Enagic and its affiliates, and each of their directors, officers, employees and agents (collectively, the "**Indemnified Parties**"), from and against any and all claims, losses, liabilities, damages and expenses (including, without limitation, reasonable attorneys' fees) arising from or relating to any claim, action or proceeding (each a "**Claim**") brought by any third party based upon:

(i) any actual breach of representations, warranties or covenants set forth in this Agreement;

(ii) any violation of this Agreement, Enagic's policies and procedures, rules and regulations, Enagic's marketing program manual or guidelines or any other directive of Enagic;

(iii) engaging in any conduct that is not authorized or that is specifically prohibited by Enagic under this Agreement;

(iv) any claim, demand or action initiated by a customer/consumer of the Direct Seller, in respect of which Enagic has no responsibility;

(v) any actual violation of law, gross negligence, willful misconduct, or fraud.

6.2. Indemnification Procedure. The Indemnified Parties will cooperate with the Indemnifying Party in the defence of any Claim. Any Indemnified Party may participate in the defence at its own expense. If at any time

any Indemnified Party reasonably determines that any Claim might adversely affect any Indemnified Party, such Indemnified party may take control of the defence of the Claim at such Indemnified Party's expense (without limiting the Indemnifying Party's indemnification obligations), and in such event such Indemnified Party and its counsel will proceed diligently and in good faith with such defence. Indemnifying Party will not consent to the entry of any judgment or enter into any settlement without the Indemnified Parties' prior written consent, which may not be unreasonably withheld.

7. LIMITATION OF LIABILITY

7.1. Enagic will not be liable to the Direct Seller for any incidental or consequential damages (including lost profits, lost data or loss of good will) arising out of this Agreement.

8. CONFIDENTIALITY

8.1. Non-Disclosure. The Receiving Party shall (i) hold all Confidential Information in confidence and shall not disclose the Disclosing Party's Confidential Information to anyone, at any time, other than persons who have a need to receive such Confidential Information to comply with the terms of this Agreement; and (ii) protect the Disclosing Party's Confidential Information against unauthorized access, use, disclosure, destruction, loss or alteration using the same degree of care that the Disclosing Party uses to protect his/her own highly sensitive and/or proprietary information, but in no event less than a reasonable degree of care.

8.2. Restrictions on Use. The Receiving Party shall not use the Disclosing Party's Confidential Information for his/her own benefit or for the benefit of third parties, or for any purpose other than as necessary for the Receiving Party under this Agreement.

8.3. Breach Notification. Upon becoming aware of any unauthorized access to or disclosure, use, loss, damage or destruction of any Confidential Information, the Receiving Party shall promptly notify the Disclosing Party in writing.

8.4. Return or Destruction. Within 10 (ten) days of an express request or termination of this Agreement, the Receiving Party shall return all Confidential Information received under this Agreement, including all copies or partial copies thereof in any form or format to the extent technically feasible to do so. If it is not technically feasible to return all information and the Disclosing Party consents in writing, Receiving Party shall destroy such information using such methods as are reasonably acceptable to the Disclosing Party.

8.5. Terms of Agreement. The Direct Seller shall not disclose the terms of this Agreement to any third parties without the prior written consent of Enagic, except that Direct Seller may disclose its terms (i) in confidence, to his/her accountants, legal counsel, tax advisors and other financial and legal advisors; or (ii) as required during the course of litigation.

8.6. Compelled Disclosure. If the Direct Seller becomes legally compelled (by Applicable Law or by deposition, interrogatory, request for documents, order, subpoena, civil investigative demand or similar process issued by a court of competent jurisdiction or by a government body) to disclose any of Enagic's Confidential Information or the terms of this Agreement, Direct Seller shall provide Enagic with prompt prior written notice (to the extent legally permitted) of any such requirement so that Enagic may seek a protective order or other appropriate remedy, and the Direct Seller shall provide all assistance reasonably necessary for Enagic to seek such order or remedy. In the event that Enagic does not obtain such protective order or other remedy, then the Direct Seller may disclose only that portion of the Confidential Information or terms of this Agreement that is legally required to disclose.

9. PROPRIETARY RIGHTS

9.1. Ownership. Parties agree that, except as expressly provided to the contrary, this Agreement does not transfer ownership of any Proprietary Rights in any Enagic Materials. Enagic shall retain ownership of the Enagic Materials.

9.2. License Grant. Enagic grants to the Direct Seller, on a non-exclusive, revocable basis, limited license to use the Enagic Materials solely for the purpose of acting as a direct seller in accordance with this Agreement.

9.3. Restrictions. Except to the extent authorized or permitted in this Agreement or by law, Direct Seller shall

not: (i) use the Enagic Materials in any manner without the prior consent of Enagic; (ii) incorporate, bundle, integrate or link Enagic Materials into any documentation or materials used by the Direct Seller; (iii) copy, transfer or distribute the Enagic Materials (electronically or otherwise); (iv) sublicense or assign the license for the Enagic Materials.

10. INDEPENDENT CONTRACTOR

10.1. The Parties are and shall be independent contractors to one another, and nothing herein shall be deemed to cause this Agreement to create an agency or partnership between the Parties. Nothing in this Agreement shall be interpreted or construed as creating or establishing the relationship of employer and employee between Enagic and the Direct Seller.

11. NO EXCLUSIVITY

11.1. The appointment of the Direct Seller under this Agreement is not exclusive and the Direct Seller acknowledges and agrees that Enagic may appoint any other third party as a direct seller with respect to the same Enagic Products for the same territory, without the consent of the Direct Seller.

12. MISCELLANEOUS

12.1. Notices. Any notice or other communication under this Agreement given by any Party to the other Party will be in writing and, to be effective, must be delivered by registered letter, receipted commercial courier, or electronically receipted facsimile transmission (acknowledged in like manner by the intended recipient) at the address specified below. Either Party may from time to time change the addresses or individuals specified in this Clause by giving the other Party notice of such change in accordance with this Clause.

Notice to Enagic :

Name: Compliance Department

Address: Unit No.501, 05th Floor, Barton Center, No.84 MG Road, Bangalore -560001

Email compliance-india@enagic.co.in

Notice to Direct Seller: As details provided in the agreement, as per Enagic record.

12.2. Waiver; Remedies. A waiver of any breach or default under this Agreement will not constitute a waiver of any other or subsequent breach or default. The failure of either Party to enforce any term of this Agreement will not constitute a waiver of such Party's rights to subsequently enforce the term. The remedies specified in this Agreement are in addition to any other remedies that may be available at law or in equity.

12.3. Severability; Entire Agreement. If any term of this Agreement is held to be invalid, such invalidity will not affect the remaining terms. This Agreement, together with the attached Annexures represents the entire agreement between the Parties with respect to the subject matter hereof and supersedes any previous or contemporaneous oral or written agreements regarding such subject matter. This Agreement may be executed by facsimile and in counterparts, which together will constitute one and the same agreement.

12.4. Governing Law. This Agreement will be governed by the laws of India. Subject to Clause 13.5 below, the Parties hereby irrevocably consent to the exclusive jurisdiction of courts located at [Bangalore, India], with respect to any claims, suits or proceedings arising out of or in connection with this Agreement or the transactions contemplated hereby.

12.5. Dispute Resolution. All disputes and differences arising out of or in connection with this Agreement, if not resolved within 15 (fifteen) days through discussion between the Parties, shall be referred to the arbitration of an arbitrator appointed by a director of Enagic. The decision and award determined by such arbitration will be final and binding upon the Parties. The Arbitration shall be conducted in accordance with the provisions of the Arbitration and Conciliation Act, 1996, as may be in force from time to time. The arbitration proceedings shall

be conducted in English and the venue of the arbitration shall be [Bangalore]. The arbitrators shall pass a reasoned award in writing within 4 (four) months of the date of the appointment of the Presiding Arbitrator.

12.6. Force Majeure. Neither Party shall be in breach of this Agreement nor liable for delay in performing, or failure to perform, any of its obligations (other than payment) under this Agreement if such delay or failure result from events, circumstances or causes beyond its reasonable control. In such circumstances, the time for performance shall be extended by a period equivalent to the period during which performance of the obligation has been delayed or failed to be performed. If the period of delay or non-performance continues for 3 (three) months, the Party not affected may terminate this Agreement by giving 45 (forty-five) days' written notice to the affected Party, and the effects of termination described in Clause 5.2 shall become applicable

IN WITNESS WHEREOF, each Party hereto has caused this Agreement to be executed by its duly authorized representatives. For and on behalf of the Direct Seller.

For and on behalf of the Direct Seller.



Name: Magnitude Organisation
Place: Bangalore.
Date: 14-Jul-2021

For and on behalf of **ENAGIC INDIA KANGEN WATER PRIVATE LIMITED**



By: Compliance Officer
Date: 14-Jul-2021

ANNEXURE I (Attached and Provided Separately)

This annexure is in accordance with the Clause 1 sub clause 1.1(i) of Direct Seller Agreement of Enagic India Kangen Water Pvt.Ltd.

1. Policy and Procedure Handbook
2. Direct Seller Orientation Program (DSOP)
3. Speaker Guidelines
4. Water Related Questions (WRQ)
5. Enagic Product and Specifications.
6. Product Cleaning Methods

For and on behalf of the Direct Seller



Name: Magnitude Organisation

Place: Bangalore

Date: 14-Jul-2021